Stewart’s earnings and operating cash flow for the six months ended April 30, 2000, was about $38 million, or about $0.36 per share. On an annualized basis, it was producing free cash flow of about $0.72 per share. The stock was trading at less than three times cash flow. It was also trading at about one-quarter of annual revenue.

On the exterior, there was no visible change after these hundreds of mom-and-pop funeral homes were acquired. The names were maintained since these small funeral homes had tremendous brand equity in their communities, but the back end, merchandising, selling pre-paid funerals, and such were streamlined and corporatized. Each underlying funeral home was an excellent business with lucrative and predictable free cash flow characteristics. The weak balance sheet of the parent company was the culprit.

By the time the debt came due, the company would generate over $155 million in free cash flow, leaving a deficit of under $350 million. I concluded that there were five possible scenarios for Stewart over the next 24 months:

1. Each individual funeral home is a distinct standalone business. Stewart was a roll-up that had bought hundreds of family-owned funeral homes. Each had kept the same name. Most customers did not know that ownership had even changed hands. Thus, to raise cash, Stewart could elect to sell some of its funeral homes. Presumably, many of the previous owners might buy them back. The company had typically paid eight or more times cash flow for each funeral home. I figured that it should be able to sell boatloads of these back to the original owners for at least four to eight times cash flow. Thus, 100 to 200 homes might be sold to take care of the debt.

Odds I ascribed to this scenario playing out	25 percent
Equity value in 24 months if this scenario played out	>$4 per share